

D558

Pass-Through Taxation

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

Partner M contributes \$40,000 cash for a 25% interest in a new LLC taxed as a partnership. In year one the LLC earns \$80,000 of ordinary income and borrows \$100,000 on a bank loan shared by the partners in their profit ratio; M receives a \$15,000 distribution. The LLC runs two food trucks. What is M's outside basis at year-end?

- A. \$100,000
- B. \$45,000
- C. \$145,000
- D. \$70,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

2. [TRANSFER — reversed stem / different variable]

A partner's outside basis went from \$30,000 to \$52,000 during the year. Her share of partnership income was \$18,000 and she received a \$6,000 distribution. The only other change was her share of partnership liabilities. How did that share change?

- A. It fell \$2,000.
- B. It rose \$22,000.
- C. It rose \$10,000.
- D. It rose \$28,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

3.

A limited partner has outside basis of \$10,000 and is at risk for \$6,000; the rest of her basis comes from nonrecourse debt. Her share of the partnership's rental loss is \$9,000, and she has no other passive income. She lives in Arizona. How much loss can she deduct this year?

- A. \$9,000
- B. \$6,000
- C. \$0
- D. \$10,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

4.

Partner R contributes a building (basis \$200,000, FMV \$500,000, no debt) and Partner S contributes \$500,000 cash to form an equal partnership. The partnership will operate a boutique hotel. What gain does R recognize, and what is the partnership's basis in the building?

- A. \$0 gain; the partnership's basis is \$200,000.
- B. \$300,000 gain; basis is \$500,000.
- C. \$150,000 gain, since half the building now belongs to S.
- D. \$0 gain; basis is \$500,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

An LLC taxed as a partnership pays managing member K a guaranteed payment of \$60,000 for services regardless of profit. After the payment, the LLC has \$100,000 of ordinary income, split equally between K and one other member. The LLC's office is in a converted warehouse. What ordinary income does K report?

- A. \$110,000
- B. \$50,000
- C. \$60,000
- D. \$80,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A dental supply company is a C corporation with 85 individual U.S. shareholders and one class of common stock. A venture capital partnership wants to buy 10% of the shares. The company's revenue doubled last year. If the partnership invests, can the company elect S status?

- A. Yes; it would have only 86 shareholders, under the 100 limit.
- B. No; a partnership cannot be an S corporation shareholder.
- C. No, because its revenue is too high for S status.
- D. Yes, if the partnership receives preferred stock.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

Which change would terminate a valid S election?

- A.** Issuing nonvoting common stock with the same distribution rights.
- B.** Adding a 90th individual U.S. shareholder.
- C.** Earning any passive investment income in a single year.
- D.** Issuing stock with different rights to distributions than the existing shares.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

Shareholder T owns 100% of an S corporation and has stock basis of \$20,000. The S corporation borrows \$150,000 from a bank, and T personally guarantees the loan. The company has a \$90,000 loss this year. It runs a craft brewery. How much loss can T deduct under the basis limit?

- A.** \$0, because S shareholders can never deduct losses.
- B.** \$70,000
- C.** \$90,000
- D.** \$20,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

Which step would give an S corporation shareholder debt basis so she can deduct more losses?

- A.** Nothing; S shareholders never receive debt basis.
- B.** Lending her own money directly to the S corporation.
- C.** Having the corporation borrow more from a bank.
- D.** Personally guaranteeing a bank loan to the corporation.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

The sole shareholder of a profitable S corporation works full time as its chief engineer. The company earns \$400,000 before owner pay, and she takes no salary and \$400,000 of distributions to avoid payroll taxes. The company recently won a state contract. What is the main tax risk?

- A.** The IRS can reclassify part of the distributions as wages subject to payroll taxes.
- B.** She automatically loses S status.
- C.** None; S distributions are always free of payroll tax.
- D.** The distributions will be taxed twice as C corporation dividends.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A C corporation elects S status on January 1 of Year 1, when it holds land with an FMV of \$500,000 and a basis of \$300,000. In Year 3 it sells the land for \$560,000. The corporate rate is 21%, and the taxable income limit does not bind. The land borders a new stadium. What built-in gains tax is due?

- A.** \$0, because S corporations never pay entity-level tax.
- B.** \$42,000
- C.** \$12,600
- D.** \$54,600

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A former C corporation that became an S corporation pays \$31,500 of built-in gains tax at 21% on the sale of an asset during the recognition period. What was the recognized built-in gain?

- A.** \$6,615
- B.** \$31,500
- C.** \$150,000
- D.** \$118,500

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

Partner M contributes \$40,000 cash for a 25% interest in a new LLC taxed as a partnership. In year one the LLC earns \$80,000 of ordinary income and borrows \$100,000 on a bank loan shared by the partners in their profit ratio; M receives a \$15,000 distribution. ~~The LLC runs two food trucks.~~ What is M's outside basis at year-end?

Target word: outside basis **Decides:** Add income share and liability share, subtract distribution.

A	Inverted operation	Adds the distribution instead of subtracting it.
B	Dropped element	Leaves out M's \$25,000 share of the loan.
C	Wrong stem number	Includes the full \$100,000 loan instead of M's 25% share.
D	Correct	$\$40,000 + \$20,000 + \$25,000 - \$15,000 = \$70,000$.

2. Answer C Concept 1 • transfer

A partner's outside basis went from \$30,000 to \$52,000 during the year. Her share of partnership income was \$18,000 and she received a \$6,000 distribution. The only other change was her share of partnership liabilities. How did that share change?

Target word: solve for liability change **Decides:** $\$30,000 + \$18,000 - \$6,000 + X = \$52,000$.

A	Inverted operation	Adds the distribution instead of subtracting it.
B	Adjacent category	That is the total change in basis, not the liability share.
C	Correct	$X = \$52,000 - \$42,000 = \$10,000$.
D	Dropped element	Drops the income share.

3. Answer C Concept 2

A limited partner has outside basis of \$10,000 and is at risk for \$6,000; the rest of her basis comes from nonrecourse debt. Her share of the partnership's rental loss is \$9,000, and she has no other passive income. ~~She lives in Arizona.~~ How much loss can she deduct this year?

Target word: deductible loss **Decides:** The passive limit applies after basis and at-risk.

A	Adjacent category	Applies only the basis limit.
B	Dropped element	Stops at the at-risk limit and skips the passive test.
C	Correct	Basis allows \$9,000 and at-risk allows \$6,000, but the passive loss has no passive income to offset.
D	Wrong stem number	That is her basis, and it exceeds the loss itself.

4. Answer A Concept 3

Partner R contributes a building (basis \$200,000, FMV \$500,000, no debt) and Partner S contributes \$500,000 cash to form an equal partnership. ~~The partnership will operate a boutique hotel.~~ What gain does R recognize, and what is the partnership's basis in the building?

Target word: gain and inside basis **Decides:** Property contributions are nonrecognition events with carryover basis.

A	Correct	No gain on contribution, and the partnership takes R's basis.
B	Adjacent category	Treats the contribution as a taxable sale.
C	Dropped element	Drops the nonrecognition rule for contributions.
D	Confusion set	Mixes nonrecognition with a fair-value basis.

5. Answer A Concept 4

An LLC taxed as a partnership pays managing member K a guaranteed payment of \$60,000 for services regardless of profit. After the payment, the LLC has \$100,000 of ordinary income, split equally between K and one other member. ~~The LLC's office is in a converted warehouse.~~ What ordinary income does K report?

Target word: K's income **Decides:** Guaranteed payment plus half the remaining income.

A	Correct	$\$60,000 + 50\% \times \$100,000 = \$110,000$.
B	Dropped element	Leaves out the guaranteed payment.
C	Wrong stem number	Counts only the guaranteed payment.
D	Adjacent category	Splits the guaranteed payment with the other member.

6. Answer B Concept 5

A dental supply company is a C corporation with 85 individual U.S. shareholders and one class of common stock. A venture capital partnership wants to buy 10% of the shares. ~~The company's revenue doubled last year.~~ If the partnership invests, can the company elect S status?

Target word: eligibility **Decides:** A partnership is an ineligible shareholder.

A	Dropped element	Checks the count but drops the eligible-shareholder rule.
B	Correct	Only eligible shareholders may own S stock.
C	Camouflage	There is no revenue cap for S corporations.
D	Confusion set	Preferred stock would also create a second class of stock.

7. Answer D Concept 5 • transfer

Which change would terminate a valid S election?

Target word: what breaks eligibility **Decides:** A second class of stock.

A	Confusion set	Differences in voting rights alone are allowed.
B	Adjacent category	The limit is 100 shareholders.
C	Absolute language	Termination requires excess passive income for three years with C corporation E&P.
D	Correct	Different distribution rights create a second class of stock.

8. Answer D Concept 6

Shareholder T owns 100% of an S corporation and has stock basis of \$20,000. The S corporation borrows \$150,000 from a bank, and T personally guarantees the loan. The company has a \$90,000 loss this year. ~~It runs a craft brewery.~~ How much loss can T deduct under the basis limit?

Target word: deductible loss **Decides:** A guarantee does not create debt basis.

A	Absolute language	Losses pass through up to basis.
B	Inverted operation	Deducts the disallowed part instead of the allowed part.
C	Confusion set	Treats the guarantee as a loan from T.
D	Correct	Loss is limited to stock basis; the guarantee adds no debt basis.

9. Answer B Concept 6 • transfer

Which step would give an S corporation shareholder debt basis so she can deduct more losses?

Target word: how to create debt basis **Decides:** Only a direct shareholder loan counts.

A	Absolute language	Direct loans do create debt basis.
B	Correct	Direct loans from the shareholder create debt basis.
C	Adjacent category	Entity debt adds basis for partners, not S shareholders.
D	Confusion set	Guarantees create no basis unless she actually pays.

10. Answer A Concept 7

The sole shareholder of a profitable S corporation works full time as its chief engineer. The company earns \$400,000 before owner pay, and she takes no salary and \$400,000 of distributions to avoid payroll taxes. ~~The company recently won a state contract.~~ What is the main tax risk?

Target word: main risk **Decides:** An owner-employee takes no wages.

A	Correct	Owner-employees must receive reasonable compensation.
B	Adjacent category	Underpaying wages does not terminate the election.
C	Absolute language	Reasonable-compensation rules override that assumption.
D	Confusion set	S corporations do not create double tax on distributions.

11. Answer B Concept 8

A C corporation elects S status on January 1 of Year 1, when it holds land with an FMV of \$500,000 and a basis of \$300,000. In Year 3 it sells the land for \$560,000. The corporate rate is 21%, and the taxable income limit does not bind. ~~The land borders a new stadium.~~ What built-in gains tax is due?

Target word: BIG tax **Decides:** Built-in gain at conversion = \$200,000.

A	Absolute language	The BIG tax is an exception within five years of conversion.
B	Correct	$\$200,000 \times 21\% = \$42,000$; later appreciation is not taxed at the entity level.
C	Inverted operation	Taxes only the post-conversion \$60,000 instead of the built-in gain.
D	Dropped element	Taxes the entire \$260,000 gain, dropping the conversion-date cap.

12. Answer C Concept 8 · transfer

A former C corporation that became an S corporation pays \$31,500 of built-in gains tax at 21% on the sale of an asset during the recognition period. What was the recognized built-in gain?

Target word: solve for gain **Decides:** $\$31,500 / 0.21$.

A	Inverted operation	Multiplies the tax by the rate.
B	Wrong stem number	That is the tax, not the gain.
C	Correct	$\$31,500 / 0.21 = \$150,000$.
D	Adjacent category	Subtracts the tax from the gain.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	7	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	5	
Absolute language	Always, never, guarantee — where judgment applies.	5	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Partner outside basis	Outside basis = contributions + share of income + share of partnership liabilities – distributions – share of losses.	Leaving out the liability share or adding distributions.	A contribution, a share of income, an entity loan, and a distribution.
2	Loss limitation ordering	A partner's loss must pass three limits in order: basis, then at-risk, then passive activity.	Stopping after the basis or at-risk limit.	Basis, an at-risk amount, and a rental or limited-partner loss.
3	Contributions to a partnership	Contributing property for a partnership interest is generally tax-free; the partnership takes the contributor's basis in the property.	Treating the contribution as a sale at FMV.	Appreciated property contributed for an interest.
4	Guaranteed payments	Guaranteed payments are ordinary income to the partner and deductible by the partnership before the remaining income is split.	Ignoring the payment, or splitting it with the profit share.	A fixed payment for services regardless of profit.
5	S corporation eligibility	An S corporation may have at most 100 shareholders, only eligible shareholders (no partnerships, corporations or nonresident aliens), and one class of stock.	Checking only the shareholder count.	A new investor that is an entity, or a new stock class.
6	S corporation debt basis	S shareholders get debt basis only for loans they make directly to the corporation; guarantees of entity loans do not count.	Applying partnership rules that include entity-level debt.	A shareholder guarantee of a bank loan to the S corporation.
7	Reasonable compensation	An S corporation shareholder who works in the business must receive reasonable wages; distributions in place of salary can be reclassified as wages.	Taking all income as distributions to avoid payroll tax.	An owner-employee with no salary and large distributions.
8	Built-in gains tax	A former C corporation that sells appreciated assets within five years of converting to S pays corporate tax on the built-in gain that existed at conversion.	Taxing appreciation after conversion, or assuming S corporations never pay entity tax.	A C-to-S conversion and a sale within five years.

Course scope (public description): Pass-Through Entities Taxation prepares learners to address the needs of the various pass-through entity types regarding tax preparation. Many businesses choose to utilize pass-through entities rather than C corporations. Partnerships, limited liability company (LLCs), and S corporations appear in almost all business sectors and each type contains unique features which can provide advantages to specific business situations. Accountants encounter all these entity types throughout their career and understanding the advantages, disadvantages, specific rules, and procedures is a vital skillset for the modern tax professional.